

DONATION AGREEMENT

This Donation Agreement ("Agreement") is made and entered into this _____ day of _____, 2022 ("Execution Date"), by and between **UNION PACIFIC RAILROAD COMPANY**, a Delaware corporation, whose address is 1400 Douglas Street, Omaha, Nebraska 68179 ("Donor"), and the **City of Cheyenne**, a Wyoming municipal corporation, whose address is 2101 O'Neil Avenue, Cheyenne, Wyoming 82001(" Donee").

RECITALS:

Donor owns the equipment listed on Exhibit A attached hereto and made a part hereof (the "Equipment").

Donor desires to donate the Equipment to Donee, and Donee desires to receive and accept the Equipment from Donor.

AGREEMENT:

In exchange for the mutual covenants and commitments contained herein, the Donor and Donee agree as follows:

Section 1. Donation of the Equipment.

Donor hereby agrees to donate to Donee, and Donee hereby agrees to receive and accept from Donor, subject to and on the following terms and conditions, the Equipment.

Section 2. Conditions Precedent to Donation.

This Agreement is made and executed by the parties hereto subject to the following conditions precedent:

(a) Asbestos Studies. Donor has taken steps to have all of the units included in the Equipment inspected or evaluated for the presence of lead paint, asbestos or asbestos-containing materials. Donor is in possession of reports of the results of such inspection or evaluation, and Donor has provided a copy of the reports to Donee.

(b) Donor to Prepare Equipment for Delivery. Donee acknowledges that Donor must complete certain repair and maintenance activities with respect to many of the units included in the Equipment in order for the Equipment to be in a condition suitable for safe delivery by rail to Donee. Once Donor identifies any such repair and maintenance activities, if Donor is not willing, in Donor's sole discretion, to incur the cost of such repair and maintenance activities for any unit included in the Equipment, then Donor shall notify Donee of the cost of such activities for any such units and any reimbursement of such costs Donor may require as a condition of this donation. If Donee notifies Donor of Donee's willingness to reimburse such costs, then the parties shall proceed with Closing of each such unit as well as the other units included in the Equipment. Provided, however, if Donee is not willing to reimburse such costs, then either Donor or Donee

may terminate this Agreement with respect to the particular unit or units for which neither Donor nor Donee is willing to incur the costs of repair and maintenance, in which case neither party shall have any obligations under this Agreement with respect to any units for which this Agreement has been terminated (and the parties shall proceed to Closing on the remaining units in the Equipment). If Donee will be reimbursing any costs of Donor to repair and maintain any units included in the Equipment, then Donee will have the right to audit Donor's costs for such work.

(c) Donee Access to Donor Property. If Donee, with its agents or contractors, desires to enter upon Donor's property in order to review or inspect the units included in the Equipment prior to Closing, such entry and review and inspection shall be at Donor's sole discretion. If Donor approves such entry for such review and inspection, then Donee and its agents or contractors must first comply with Donor's customary right of entry terms and conditions, as set forth in Donor's Contractor's Right of Entry.

Section 3. Closing; Possession.

(a) The donation of the Equipment shall close ("Close" or "Closing") on a date or dates agreed upon by Donor and Donee promptly after Donor notifies Donee that the conditions set forth in subsection 2(b) and, if applicable, subsection 2(c) are satisfied with respect to all of the Equipment, and the Donor is able to deliver such units to Donee. Donor and Donee acknowledge a shared intention to complete the donation and delivery of the Equipment not later than February 28, 2023. However, Donor and Donee acknowledge the timing of completion of repairs of the units for delivery to Donee, in addition to other priorities of Donor, may result in a delay in the Closing.

(b) Immediately upon Closing, Donor shall deliver the Equipment to Donee by moving such Equipment to the location identified by the Donee. Donee shall have no obligation to reimburse the transportation costs incurred by Donor in moving the Equipment.

(c) Possession of the Equipment shall pass to Donee upon delivery of the Equipment. Donee shall have no right to possession or occupancy of or entry upon any portion of the property where the Equipment is currently located other than as provided in Section 2 above. Title to the Equipment shall remain vested in Donor until Closing.

(d) The Closing shall be held virtually at the convenience of the parties.

(e) At the Closing, Donor shall deliver to Donee the executed Quitclaim Bill of Sale referred to in Section 4 for the units of the Equipment, and Donee shall deliver to Donor an executed counterpart of the Quitclaim Bill of Sale and any documents required by Donor as set forth in Section 8 below.

(f) At Closing, Donee shall pay to Donor any costs required to be reimbursed or paid to Donor by Donee under subsection 2(b) above.

Section 4. Title.

Upon Closing as set forth in Section 3, Donor's right, title and interest in and to the particular units of the Equipment shall be transferred by Donor to Donee by a duly executed Quitclaim Bill of Sale in the form marked **Exhibit B**, attached hereto and made a part hereof.

Section 5. Compliance with Laws.

It is understood that the sale and conveyance made pursuant to this Agreement shall be subject to any and all applicable federal, state and local laws, orders, rules and regulations.

Section 6. As Is; Release and Indemnity)

(a) As Is. Donee and its representatives, prior to the date of Closing, will have been afforded the opportunity to make such inspections of the Equipment and matters related thereto as Donee and its representatives' desire. Donee acknowledges and agrees that the Equipment is to be donated and quitclaimed to and accepted by Donee in an "as is" condition with all faults. Donee further acknowledges that the Equipment was used for railroad purposes and contains asbestos and asbestos-containing materials. Donee further acknowledges Donee will have received the asbestos evaluation reports described above. Donor makes no representation or warranty as to the accuracy or completeness of said asbestos evaluation reports. Donor makes no representation or warranties of any kind whatsoever, either express or implied, with respect to the Equipment; in particular, but without limitation, Donor makes no representations or warranties with respect to the use, condition, occupation or management of the Equipment, with respect to its fitness for any particular purpose, or with respect to its compliance with applicable statutes, laws, codes, ordinances, regulations, or requirements. Donee acknowledges that it is entering into this Agreement on the basis of Donee's own investigation of the physical and environmental conditions of the Equipment, and Donee assumes the risk that adverse physical and environmental conditions may not have been revealed by its investigation. Donee acknowledges that notwithstanding any prior or contemporaneous oral or written representations, statements, documents or understandings, this Agreement constitutes the entire understanding of the parties with respect to the subject matter hereof and the donation of the Equipment and supersedes any such prior or contemporaneous oral or written representations, statements, documents or understandings.

(b) Release. DONEE, FOR ITSELF, ITS SUCCESSORS AND ASSIGNS, HEREBY WAIVES, RELEASES, REMISES, ACQUITS AND FOREVER DISCHARGES DONOR, ITS AFFILIATES, THEIR EMPLOYEES, AGENTS, OFFICERS, SUCCESSORS AND ASSIGNS, OF AND FROM ANY AND ALL CLAIMS, SUITS, ACTIONS, CAUSES OF ACTION, DEMANDS, RIGHTS, DAMAGES, COSTS, EXPENSES, PENALTIES, FINES OR COMPENSATION WHATSOEVER, DIRECT OR INDIRECT, WHICH DONEE NOW HAS OR WHICH DONEE MAY HAVE IN THE FUTURE ON ACCOUNT OF OR IN ANY WAY ARISING OUT OF OR IN CONNECTION WITH THE KNOWN OR UNKNOWN PHYSICAL OR ENVIRONMENTAL CONDITION OF THE EQUIPMENT (INCLUDING, WITHOUT LIMITATION, ANY CONTAMINATION IN OR ON THE EQUIPMENT BY ANY HAZARDOUS OR TOXIC SUBSTANCE OR MATERIAL), OR ANY FEDERAL, STATE OR LOCAL LAW, ORDINANCE, RULE OR REGULATION APPLICABLE THERETO,

INCLUDING, WITHOUT LIMITATION, THE TOXIC SUBSTANCES CONTROL ACT, THE COMPREHENSIVE ENVIRONMENTAL RESPONSE, COMPENSATION AND LIABILITY ACT, AND THE RESOURCE CONSERVATION AND RECOVERY ACT. THE FOREGOING SHALL APPLY REGARDLESS OF ANY NEGLIGENCE OR STRICT LIABILITY OF DONOR, ITS AFFILIATES, THEIR EMPLOYEES, AGENTS, OFFICERS, SUCCESSORS OR ASSIGNS.

(c) Indemnity. FROM AND AFTER CLOSING, DONEE SHALL, TO THE MAXIMUM EXTENT PERMITTED BY LAW, INDEMNIFY, DEFEND AND SAVE HARMLESS DONOR, ITS AFFILIATES, THEIR EMPLOYEES, AGENTS, OFFICERS, SUCCESSORS AND ASSIGNS, FROM AND AGAINST ANY AND ALL SUITS, ACTIONS, CAUSES OF ACTION, LEGAL OR ADMINISTRATIVE PROCEEDINGS, CLAIMS, DEMANDS, FINES, PUNITIVE DAMAGES, LOSSES, COSTS, LIABILITIES AND EXPENSES, INCLUDING ATTORNEY'S FEES, IN ANY WAY ARISING OUT OF OR CONNECTED WITH THE KNOWN PHYSICAL OR ENVIRONMENTAL CONDITION OF THE EQUIPMENT (INCLUDING, WITHOUT LIMITATION, ANY CONTAMINATION IN OR ON THE EQUIPMENT BY ANY HAZARDOUS OR TOXIC SUBSTANCE OR MATERIAL), OR ANY FEDERAL, STATE OR LOCAL LAW, ORDINANCE, RULE OR REGULATION APPLICABLE THERETO, INCLUDING, WITHOUT LIMITATION, THE TOXIC SUBSTANCES CONTROL ACT, THE COMPREHENSIVE ENVIRONMENTAL RESPONSE, COMPENSATION AND LIABILITY ACT, AND THE RESOURCE CONSERVATION AND RECOVERY ACT. . THIS PROVISION SHALL NOT APPLY TO ANY CLAIMS OR LIABILITIES OF ANY TYPE WHATSOEVER ARISING OUT OF ANY "INCIDENT" PERTAINING TO A UNIT OF EQUIPMENT THAT OCCURRED PRIOR TO THE CLOSING FOR THAT UNIT OF EQUIPMENT, UNLESS THE "INCIDENT" OCCURRED AS A RESULT OF, OR OTHERWISE AROSE OUT OF, ACTIVITIES PERFORMED BY DONEE, ITS EMPLOYEES, AGENTS, OR CONTRACTORS UNDER DONEE'S DIRECTION AND CONTROL. "INCIDENT" INCLUDES ANY SPILL, RELEASE, PATTERN OF RELEASES, ACTION, CONDUCT, INJURY (INCLUDING EMPLOYEE AND THIRD-PARTY INJURIES), OR DAMAGE OF ANY TYPE ALLEGED TO HAVE RESULTED FROM DONOR'S OWNERSHIP, OPERATION, STORAGE, DISPLAY, MAINTENANCE, REPAIR OR OTHER USE OF ANY OF THE LOCOMOTIVES BEFORE CLOSING.

Section 7. Removal of Union Pacific Marks.

Prior to any public display or operation of any units included in the Equipment, except as may be agreed by Donor in writing, unless Donee has removed all Union Pacific marks from such units, Donee shall install external signage on such units in a form reasonably acceptable to Donor that such units are "Not operated by Union Pacific Railroad". Additionally, Donor reserves the right to require Donee to remove from the each of the units any external marks, logos, livery, signage or other markings identifying such units as owned by or related to Donor or any of Donor's affiliates. Additionally, Donor reserves the right to require Donee to remove from the interior of each of the units included in the Equipment, any Union Pacific marks, logos, signage or other markings identifying such units as owned by or related to Donor or any of Donor's affiliates.

IF DONEE ENGAGES IN ANY USE, OPERATION OR DISPLAY OF ANY UNITS OF THE EQUIPMENT WHILE CONTAINING ANY MARKS, LOGOS, LIVERY, SIGNAGE OR OTHER MARKINGS IDENTIFYING SUCH UNITS AS PREVIOUSLY OWNED OR OPERATED BY DONOR OR ANY OF DONOR'S AFFILIATES, DONEE SHALL, TO THE MAXIMUM EXTENT PERMITTED BY LAW, INDEMNIFY, DEFEND AND SAVE HARMLESS DONOR, ITS AFFILIATES, THEIR EMPLOYEES, AGENTS, OFFICERS, SUCCESSORS AND ASSIGNS, FROM AND AGAINST ANY AND ALL SUITS, ACTIONS, CAUSES OF ACTION, LEGAL OR ADMINISTRATIVE PROCEEDINGS, CLAIMS, DEMANDS, FINES, PUNITIVE DAMAGES, LOSSES, COSTS, LIABILITIES AND EXPENSES, INCLUDING ATTORNEY'S FEES, IN ANY WAY CAUSED BY, ARISING OUT OF OR CONNECTED WITH SUCH USE, OPERATION OR DISPLAY BY DONEE OR ANY OTHER PERSON.

Section 8. Use Restriction.

(a) At Closing, Donee shall take possession and title to each unit of the Equipment subject to the following restrictions on the use and operation of each unit of the Equipment, for the benefit of Donor: Except upon the prior written approval of Donor, which approval may be granted or withheld in Donor's sole discretion, none of the units of the Equipment may be operated or displayed by Donee or any other person or entity outside of the City of Cheyenne.

(b) At Closing, Donee shall execute and deliver to Donor any liens, instruments or filing statements requested by Donor, which Donor may then file with the Surface Transportation Board and/or any other governmental agency as appropriate, whether in the United States, Mexico or Canada, memorializing in the appropriate government records the rights reserved by Donor in the Equipment.

Section 9. Notices.

Any notices required or desired to be given under this Agreement shall be in writing and personally served, given by overnight express delivery, or given by mail. Any notice given by mail shall be sent, postage prepaid, by certified mail, return receipt requested, addressed to the party to receive at the following address or at such other address as the party may from time to time direct in writing:

Donor: UNION PACIFIC RAILROAD COMPANY
ATTN: Maureen Halbur
1400 Douglas Street, MS 1690
Omaha, Nebraska 68179
Telephone: (402) 544-3400

with copy to: UNION PACIFIC RAILROAD COMPANY
ATTN: Patrick R. McGill
1400 Douglas Street, MS 1580
Omaha, Nebraska 68179
Telephone: (402) 544-5761

Donee: City of Cheyenne
ATTN: Kristina F. Jones
City Clerk
2101 O'Neil Avenue, Room 10
Telephone: (307) 637-6329

Express delivery notices shall be deemed to be given upon receipt. Postal notices shall be deemed to be given three (3) days after deposit with the United States Postal Service.

Section 10. Assignment.

Donee shall not transfer or assign this Agreement, or any interest therein, without the consent in writing of Donor, and it is agreed that any such transfer or assignment, whether voluntary, by operation of law or otherwise, without such consent in writing, shall be absolutely void and shall, at the option of Donor, terminate this Agreement. This Section 10 does not limit or apply to Donee's right to sell, donate, or transfer units of Equipment to any third party after Closing, subject to Section 8 above.

Section 11. Law Governing.

This Agreement shall be governed in all respects by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over any action arising out of this Agreement and over the parties, and the venue shall be the First Judicial District, Laramie County, Wyoming.

Section 12. Merger.

The terms, provisions, covenants and conditions herein contained shall not merge into the Quitclaim Bill of Sale to be delivered by Donor to Donee at Closing but rather shall survive the Closing.

Section 13. Successors and Assigns.

Subject to the provisions of Section 10, this Agreement shall be binding upon and inure to the benefit of the parties hereto, their successors and assigns.

Section 14. Severability.

In the event that any of the provisions of this Agreement shall be held to be invalid or unenforceable by a court of competent jurisdiction under applicable law, the remaining portions hereof shall remain in full force and effect and such provision shall be enforced to the maximum extent possible so as to effect the intent of the parties and shall be reformed to the extent necessary to make such provision valid and enforceable.

Section 15. Counterparts.

This Agreement may be executed in two counterpart copies, which counterparts when taken together shall constitute one agreement and shall have the same force and effect as if the parties hereto had executed a single copy of this Agreement. For purposes of this Agreement, a pdf or facsimile of an original of this Agreement shall be deemed enforceable as an original by the parties hereto.

Section 16. Entire Agreement.

It is understood and agreed that all understandings and agreements, whether written or oral, heretofore had between the parties hereto are merged in this Agreement, which alone fully and completely expresses their agreement, that neither party is relying upon any statement or representation not embodied in this Agreement, made by the other, and that this Agreement may not be changed except by an instrument in writing signed by both parties.

IN WITNESS WHEREOF, the Parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and knowingly and voluntarily agreed to the terms and conditions of this Agreement. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument.

**UNION PACIFIC RAILROAD COMPANY,
a Delaware corporation**

By: _____
Name: _____
Title: _____

City of Cheyenne

(SEAL)

By: _____
Patrick Collins, Mayor

Attest:

Kristina F. Jones, City Clerk

Date: _____

EXHIBIT A

LIST OF EQUIPMENT
[Please see attached.]

EXHIBIT A

LIST OF EQUIPMENT

Equipment number	Equipment name and or style	Equipment type	Manufacturer	Year	Color
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Cheyenne Equipment					
Bunk / Diner	Name	Type	Manufacturer	Year	Color
SP 7078		Business	Pullman	1927	R &Orng
UP 906200	Derrick Diner	Diner	Pullman	1926	Silver

Business Cars	Name	Type	Manufacturer	Year	Color
SP 7077		Business Car	Pullman	1930	R &Orng

Caboose	Name	Type	Manufacturer	Year	Color
FTSX 812		Caboose	UP Shops	1959	Yellow
D&RGW 01476		Caboose	Burnahm Shops	1955	Orange
D&RGW 01481		Caboose	Burnahm Shops	1959	Yellowblk
D&RGW 01486		Caboose	Burnahm Shops	1959	Yellowblk
D&RGW 01489		Caboose	Burnahm Shops	1959	Orange
D&RGW 01524		Caboose	International Car	1976	Orange
SP 4641	Bay window	Caboose	PC&F	1978	Red
CNW 11047	Bay window	Caboose	Thrall	1960	Yellow
CNW 11097	Bay window	Caboose	Thrall	1960	Cream
CNW 11111	Bay window	Caboose	International Car	1966	Cream
MP 13835		Caboose	Desoto Shops	1980	Red
RI 17017		Caboose	International Car	1958	Red

EXHIBIT B

SEE ATTACHED FORM OF BILL OF SALE

BILL OF SALE

KNOW ALL MEN BY THESE PRESENTS that **UNION PACIFIC RAILROAD COMPANY**, a Delaware corporation (hereinafter called the "Transferor"), with its principal place of business at 1400 Douglas Street, Omaha, Nebraska 68179, in consideration of the receipt of good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, paid and agreed to by the **CITY OF CHEYENNE**, a municipal corporation of the State of Wyoming (hereinafter called the "Transferee"), with its principal place of business at 2101 O'Neil Avenue, Cheyenne, Wyoming 82001, does hereby grant, assign, convey, transfer and deliver unto Transferee, its successors and assigns, to have and to hold for its use forever, Transferor's interest in the rail equipment more particularly described on the attached **Exhibit A** (the "Equipment"), with such grant, assignment, conveyance, transfer and delivery to be subject to the terms of that certain Donation Agreement dated _____, between Transferor as Donor and Transferee as Donee (the "Donation Agreement"), as though the terms of such Donation Agreement are incorporated herein by reference. To the extent the other terms and conditions of this Bill of Sale conflict with the terms and conditions of such Donation Agreement, the terms and conditions of the Donation Agreement shall control.

TO HAVE AND TO HOLD the described Equipment unto Transferee, its successors and assigns for its own use.

WITHOUT LIMITING THE GENERAL APPLICATION OF ANY TERMS AND CONDITIONS SET FORTH IN SUCH DONATION AGREEMENT, TRANSFEROR DISCLAIMS ANY WARRANTY OR REPRESENTATION, EITHER EXPRESS OR IMPLIED, AS TO ANY MATTER WHATSOEVER WITH RESPECT TO THE EQUIPMENT, INCLUDING WITHOUT LIMITATION, THE CONDITION, FITNESS FOR ANY PARTICULAR PURPOSE, DESIGN, OPERATION OR MERCHANTABILITY THEREOF, THE QUALITY OR CAPACITY OF THE MATERIAL OR WORKMANSHIP THEREOF OR CONFORMITY THEREOF TO SPECIFICATIONS, FREEDOM FROM PATENT OR TRADEMARK INFRINGEMENT OR THE ABSENCE OF ANY LATENT OR OTHER DEFECT, WHETHER OR NOT DISCOVERABLE, OR COMPLIANCE OF ANY OF THE EQUIPMENT WITH ANY APPLICABLE LAW.

Transferor warrants and represents that it has legal title to the aforesaid Equipment and that the Equipment shall be delivered free and clear of any security interest or other lien (except as provided in such Donation Agreement), claim or encumbrance whatsoever, and will warrant and defend title to the Equipment against the claims and demands of all persons.

(Remainder of page intentionally left blank.)

Dated _____, 202_.

**UNION PACIFIC RAILROAD COMPANY,
a Delaware corporation**

By: _____
Name: Shane K. Keller
Title: Senior Vice President – Engineering
and Mechanical

ACKNOWLEDGED AND AGREED:

**CITY OF CHEYENNE,
a municipal corporation of the State of
Wyoming**

By: _____
Name: Patrick Collins _____
Title: Mayor, _____

(SEAL)

Attest: _____
Kristina Jones, City Clerk



Engineering Report & Proposal

Solicitation No:

22

Presented By:

Vintage Rail Restorations

1120 Cactus Hill Rd.

Cheyenne, WY 82007

VintageRailRestorations.com

Primary Contact:

Michael Pannell

(307) 221-2371

Submitted On:

1/22/2022

Contact: City of Cheyenne

Address: 2101 O'Neil Avenue
Cheyenne, WY 82001

RE: Loco. 1242; Bus. Car 7077; Caboose 812

Date: 1/22/2022

Dear City of Cheyenne,

Thank you for choosing Vintage Rail Restorations, hereafter VRR, to review your restoration project. This is a very exciting project for VRR and we look forward to being able to participate in this restoration with you.

Project Manager Mike Pannell

VRR has assigned Mike to be your project manager. Mike has a passion for antique machines of all kinds including automobiles, buses, railroad equipment, and aircraft. Mike has been deeply involved in projects involving railroad, aircraft, and bus restorations. Some of these projects are personally owned by him including a vintage Colorado & Southern passenger car, early Union Pacific Caboose, and Bristol double-decker buses. Mike made the transition to do what he loves on a full-time basis by founding Vintage Rail Restorations in 2020. Mike will ensure that your restoration project(s) will be completed properly whilst maintaining as much of the history of the item as possible.

Cost Magnitude

Below is a cost estimate based on the Scope of Work and Exclusions for this project:

Materials.....	\$232,000.00
Contractor/Labor.....	\$541,000.00
Estimated Project Cost.....	\$773,000.00

Project Overview

The Cheyenne Railcar Renovation Project entails the renovation of a historic train engine, caboose, and passenger car, as well as transportation of the three cars to a downtown attraction site. The three cars will be the start of an expanded railroad attraction near Cheyenne's historic train depot along the Union Pacific railroad tracks. The engine will remain as a historic artifact for viewing, while the other two cars may be displays or specialty retail or dining shops.

Project Components

The Cheyenne Railcar Renovation Project includes three main railroad components.

Component 1 is Union Pacific Steam Locomotive 1242, a 1890s steam locomotive which has been static displayed in a Cheyenne park for many years. The project involves lifting, loading, and moving the locomotive from Lions Park, Cheyenne to 15th Street in Cheyenne where it will be stripped down, asbestos abated, rebuilt and repainted for static display on rails.

Component 2 is Southern Pacific business/passenger car 7077. This car will be moved from the Cheyenne's Union Pacific rail yard to 15th Street to be displayed with Locomotive 1242. This project involves stripping the car down for exterior and interior repainting, repairing and replacing any rotten wood and steel, and making the roof watertight.

Component 3 is Union Pacific 1959 Caboose 812. The project involves moving this car from Cheyenne's Union Pacific rail yard to 15th Street. Restoration will include exterior paint stripping, patch welding where required, and new interior and exterior paint.

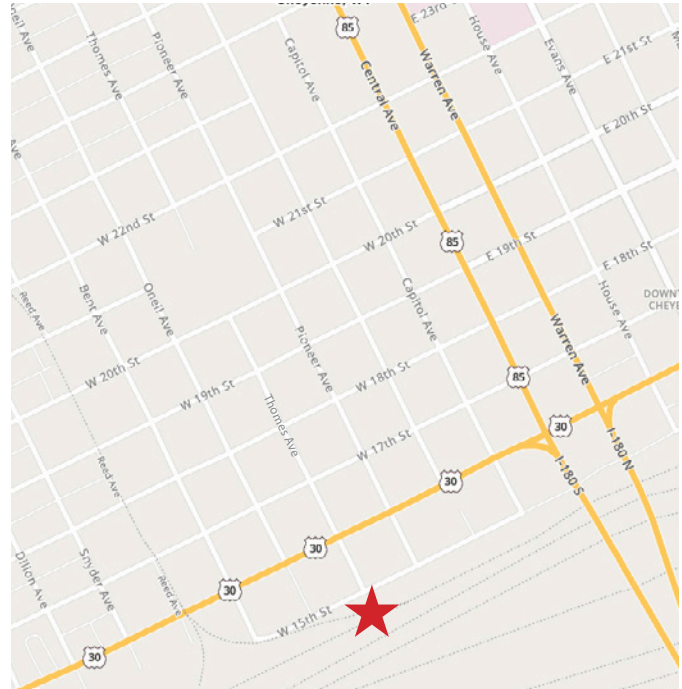


Ownership

The City of Cheyenne owns Steam Locomotive 1242 (Component 1), currently located in Lions Park in north Cheyenne.

The City of Cheyenne has a written agreement with Union Pacific Railroad for the transfer of ownership of the two additional cars (Cars 7077 and 812: Components 2 & 3). The two cars are part of a larger transfer of ownership of 15 total railcars. The two cars that are part of this project are currently located in the Union Pacific rail yard in downtown Cheyenne.

City of Cheyenne owns the attraction site land on 15th Street in the historic downtown district. ★



Partners

1. The City of Cheyenne is committed to the project and has designated Visit Cheyenne as the lead entity in spearheading this project through a Memorandum of Understanding.
2. Visit Cheyenne has committed the required financial match for this project.
3. As home to a major Union Pacific trainyard, the City of Cheyenne has access to experienced train renovation companies and experts that routinely do similar projects not just in the Cheyenne area, but nationwide as well.

Construction Method

Vintage Railroad Renovators recommends that the City of Cheyenne competitively bid the two main components of this project: 1) Transportation of the engine and two railcars to the attraction site, and 3) Renovation / Improvements of the 3 cars. It is anticipated that the City of Cheyenne will put the projects out to competitive bid following the City of Cheyenne's standard sealed bidding rules and procedures.

Real Property Acquisition

The Cheyenne Railcar Renovation Project does not require additional real property acquisition as the City of Cheyenne owns the required land and train engine, and has an agreement in place with Union Pacific for the other two railcars.

Necessary Permits

Vintage Rail Restoration anticipates the following needed permits:

1. Asbestos abatement
2. Lead paint
3. Railroad car transfer (transfer of Components 2 & 3 in the Union Pacific Railyard)
4. City traffic (transfer of Component 1 on city streets)

Feasibility Summary

Vintage Rail Restoration judges the Cheyenne Railcar Renovation Project to be feasible for successful completion. The community has an engaged City administration dedicated to the project, ownership of the project components and necessary land, experienced and expert companies in the area that can complete the work, and the resources necessary for the work.

Scope of Work

The following items are included in the project estimate.

Locomotive 1242 is currently in Lions Park on display and will need to be loaded and moved to 15th Street using trucks and cranes. The locomotive is 63ft 6in long and weighs 196,000lbs. Once removed from 15th Street, it will be covered with a temporary building, and a new boiler jacket fabricated. Rotten wood will be replaced, sandblasted and repainted. The locomotive will then be put on display.

Business Car 7077 is 85ft long, and weighs 140,000lbs. It will be moved from the UP rail yard to 15th Street using cranes. Once removed, it will be covered with a temporary building. Rotten wood and steel will be replaced, roof made water-tight, paint stripped and repainted and put on display.

UP Caboose 812 is around 70,000lbs and is 40ft long. The caboose will be removed from the UP rail yard using cranes, where it will be covered using a temporary building. Metal and rotten wood will be replaced as needed, paint-stripped and repainted internally and externally, and then put on display.

Renovation Costs

Estimated cost for 85x30 poly-building for renovations	\$18,000
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Estimated cost for scaffolding (asbestos abatement)	\$20,000
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Asbestos abatement on Locomotive 1242	\$35,000
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Renovation of Locomotive 1242	\$275,000
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Renovation of Business Car	\$230,000
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Renovation of Caboose	\$100,000
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Transportation Costs

Estimated moving costs for all three projects	\$95,000
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Proposed Time Frame

Aug-Sept 2022	City of Cheyenne puts out competitive bids for 1) transporting the 3 rail components to the attraction site, and 2) renovation work on the 3 components.
Oct-Dec 2022	Preparations at the attraction site for the rail components. Permitting for the transporting of the rail components.
Jan-Feb 2023	Transport of the 3 rail components to the attraction site.
Mar 2023-Aug 2024	Renovation work on the 3 rail components.

Exclusions

The following items are EXCLUDED from price and/or cost consideration and are NOT included in the project estimate.

Asbestos abatement on 812 and 7077

Rails and ties on 15th Street

Weather Considerations

Weather is always a factor for outdoor restoration projects. Outside temperatures must be in ideal ranges to sandblast, prime, and paint projects. When weather conditions are not ideal, VRR may be forced to halt work, and wait for better conditions to provide the expected quality for the project that you desire. Delays caused by weather are not normally factored into the cost consideration. Delays caused by weather may result in higher final project costs as a result of unanticipated lodging, food, and travel. Delays caused by weather are out of our control. When weather delays occur, VRR diligently makes an effort to work with its customers to keep costs down. Customers of outdoor projects must be aware of the potential for delays and/or increased costs due to weather conditions.

Time and Materials Projects

Restoration, construction, and refurbishment projects are considered “Time and Materials Projects” and are NOT, in any way considered to be Firm Fixed Price contracts. It is impossible to foresee every situation that may arise in a restoration project. Even if a job walk and detailed scope are provided, if the project requires demolition, fabrication, and restoration, there are and will be unknown variables. VRR is not responsible for lack of clarity in the Scope of Work provided by VRR or the customer. Items that arise that are outside of the Scope of Work – either defined by the customer or by VRR – shall be considered a Change Order (see below) wherein the customer has the right to approve or deny the Change Order request being made by VRR. The customer may also request a Change Order and VRR has the right to accept the requested Change Order or deny it, which typically is due to the Change Order requiring skills or abilities outside of our own. VRR reserves the right to stop work until invoicing issues are resolved.

Change Orders

Attached at the end of this proposal is a blank “Change Order Form” which may be used by either party to the Agreement to make Change Requests to supplement the original Pricing and Proposal Agreement. As is noted above in the Time and Materials Projects section of this proposal, both the Customer and VRR have the authority and right to initiate a Change Order request. Change Orders require the signature of both parties to be valid. Incomplete Change Order Forms are not considered part of the project until they are fully and properly executed by both parties.

In the event that the Customer or VRR cannot fully execute or complete a Change Order when required, the Customer must understand that work on the project may halt until such a time that the issue can be fully resolved to the satisfaction of both parties. Some discovered items generating a Change Order may be items that, until fully addressed due to their nature, may prevent other work from being completed.

Payment

Required Deposit

Projects that contain materials and/or up-front costs shall require a deposit. This deposit will be used against the projects as it begins and progresses. In the case of this project, please refer to the Proposal and Pricing Agreement page below.

Invoicing Requirements

Please read carefully, study and review the included Schedule of Billable Services. This project will require weekly invoicing (unless otherwise agreed to by both parties) with payments due Net 10, ACH Direct Deposit.



Proposal and Pricing Agreement

To accept the terms of this proposal, Scope of Work, Deposit and associated pricing presented herein, please provide an authorized signature and return to Vintage Rail Restorations with the required Deposit as indicated below. Work on the Labor and Materials Project will not commence prior to the receipt of this Proposal and Pricing Agreement.

Materials.....	\$232,000.00
Labor.....	\$541,000.00
Estimated Project Cost.....	\$773,000.00
Required Deposit.....	\$154,600.00

Contact:

City of Cheyenne

Date:

Michael Pannell, Founder
Vintage Rail Restorations
1120 Cactus Hill Rd.
Cheyenne, WY 82001

Date:



Previous Projects

Clockwise starting top left:

- Union Pacific 4004 “Big Boy” Steam Engine, 2017, Cheyenne, WY
- Denver and Rio Grande Caboose 0577, 2016, Cimarron State Park, NM
- Caboose and Passenger Car, 2021, Douglas, WY
- Denver Tramways Trolley 04, 2019-21, Denver, CO

